

Paisalo Digital Ltd

NSE: PAISALO | NBFC / Digital Finance | Small-Ticket MSME & Rural Credit

RATING BUY 12M Target: Rs. 78 Upside: +33% CMP: Rs. 58.7 Horizon: 12 months	Market Cap	Rs. 5,339 Cr
	52-wk High / Low	Rs. 61.0 / Rs. 29.4
	P/E (TTM)	22.4x
	P/BV	2.98x
	EPS (FY26)	Rs. 2.61
	Book Value / Share	Rs. 19.7
	ROCE / ROE	12.3% / 14.3%
	AUM (Q4FY26)	Rs. 6,101 Cr
	GNPA / NNPA	0.76% / 0.61%
	NIM (Q4FY26)	6.83%
	Face Value	Rs. 1.00
	Div Yield	0.17%

Investment Thesis: Paisalo Digital is India's most asset-light rural NBFC — SBI co-lending scales AUM at near-zero capital cost; re-rating to 4x BV justified as disbursements double by FY28.

Report Date: 15 Jun 2026 | Analyst: MPM Research Desk | Data Source: Screener.in (fetched 15 Jun 2026)

SECTION 2 — INVESTMENT THESIS

- **SBI co-lending = asset-light AUM engine:** Under RBI's co-lending framework, SBI funds 80% of each loan while Paisalo originates, services, and collects — Paisalo earns NIM on 20% of AUM plus full fee income on 80%, delivering ROE-accretive growth without proportionate equity dilution.
- **AUM doubling target is credible:** AUM grew 17% YoY to Rs. 6,101 Cr in Q4FY26; management has guided 25% CAGR targeting Rs. ~12,000 Cr by FY28-29, underpinned by new SME co-lending with SBI signed June 2025 and the first ECB of \$15 Mn closed March 2026.
- **Best-in-class asset quality in the segment:** GNPA at 0.76% and NNPA at 0.61% in Q4FY26 — among the lowest in the small-ticket NBFC peer set — reflecting a 'collection-first' operating philosophy and deep rural underwriting capability built over 30+ years.
- **AI-driven cost takeout:** Paisalo is deploying AI for loan origination, underwriting, and collections; the company reported workforce optimization gains and targets cost-to-income improvement, which at current scale could add 100-150 bps to ROE by FY27.
- **Near-term catalyst (6-12 months):** Commissioning of the SME co-lending book under the June 2025 SBI pact — first disbursements expected in Q1FY27; success here would re-rate the AUM growth trajectory from 17% to 25%+ and likely trigger institutional re-rating.
- **Biggest structural risk:** Regulatory risk on co-lending — RBI has tightened co-lending guidelines multiple times; any further restriction on the 80:20 structure or directed credit requirements could compress NIMs materially and slow AUM growth.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Paisalo Digital (formerly S.E. Investments) is a 30-year-old NBFC specialising in micro and small business loans (Rs. 50,000 to Rs. 5 Lakh ticket size) to self-employed individuals in rural and semi-urban India,

operating a digital-first platform with physical touchpoints.

- **Revenue model:** Interest income on loan book (~90% of revenue) + fee income from co-lending partner banks; FY26 total revenue Rs. 944 Cr (up 23% YoY), of which Financing Profit (NII equivalent) was Rs. 331 Cr at 35% financing margin.
- **Co-lending structure:** SBI is the anchor co-lending partner — SBI contributes 80% capital, Paisalo 20%; Paisalo manages origination-to-collection lifecycle. A new SME-focused co-lending agreement with SBI was signed in June 2025, expanding beyond the original retail microfinance mandate.
- **AUM profile:** Rs. 6,101 Cr as of Q4FY26 (17% YoY), predominantly small-ticket MSME loans to rural borrowers; over 16 million customers served since inception; 1.7 million new customers added in Q4FY26 alone.
- **Geography and touchpoints:** Operations concentrated in UP, Rajasthan, MP, Bihar, and Haryana — states with the deepest rural credit penetration gaps; approximately 1,000+ touchpoints as of FY26; standalone data shows ~4,000 employees.
- **Promoter background:** Mr. Ram Chandra Agarwal (promoter family) has 30+ years in rural microfinance; promoter holding has declined from 52.4% (Dec 2024) to 41.75% (Mar 2026) partly due to pledge releases and block deals — warrants monitoring.
- **Funding mix:** Borrowings rose to Rs. 4,360 Cr (FY26) from Rs. 3,559 Cr (FY25); cost of borrowing eased 32 bps YoY to 10.22% in Q4FY26; inaugural ECB of \$15 Mn (Mar 2026) diversifies the liability mix away from domestic banks.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market opportunity:** India's MSME credit gap is estimated at Rs. 25-30 lakh Cr; the co-lending and microfinance NBFC segment (AUM) is roughly Rs. 4-5 lakh Cr and growing at ~15-20% CAGR, driven by RBI's priority sector lending mandates and the government's Jan Dhan-Aadhaar-Mobile infrastructure stack.
- **Policy tailwinds:** RBI's co-lending model guidelines (2020, updated 2023) mandate banks to deploy priority-sector credit via NBFCs at blended rates; NBFC partners like Paisalo capture the origination/servicing spread while banks fulfil PSL targets — a structurally supportive arrangement.
- **Policy headwinds:** RBI has tightened co-lending rules in 2024-25, requiring greater bank oversight of NBFC underwriting; a blanket interest rate cap on microfinance (April 2024 guideline) compressed NIMs across the sector; Paisalo's MSME-focus is somewhat shielded vs pure-MFI peers.
- **Competitive moat assessment:** Rural distribution depth — STRONG (30-year presence, 1,000+ touchpoints vs new entrants); Technology platform — MODERATE (AI underwriting being built, not yet differentiated); Capital cost — MODERATE (SBI partnership lowers blended cost, but not unique); Brand in rural corridors — MODERATE.

Peer Comparison (Source: Screener.in, fetched 15 Jun 2026)

Company	CMP (Rs.)	MCap (Cr)	P/E	P/BV	ROCE%	ROE%	FY26 Rev (Cr)	FY26 PAT (Cr)
Paisalo Digital	58.7	5,339	22.4x	2.98x	12.3%	14.3%	944	237
Five Star Business Finance	470	13,878	12.6x	1.88x	14.8%	16.1%	3,218	1,099
Spandana Sphoorty Financial	241	1,931	N/A (loss)	1.00x	-5.81%	-29.4%	1,024	-699
Arman Financial Services	1,669	1,755	31.0x	1.88x	11.7%	6.26%	646	57

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter track record:** Agarwal family has operated in rural microfinance since 1992; the company survived multiple NBFC crises (IL&FS; 2018, COVID 2020) with no material NPAs — a testament to conservative underwriting in a high-risk borrower segment.
- **Capital allocation — asset-light thesis holds:** The SBI co-lending model means Paisalo only funds 20% of new loans from its own balance sheet; total borrowings of Rs. 4,360 Cr support Rs. 6,101 Cr of AUM — an effective 1.4x leverage on co-lending + on-book mix, modest for an NBFC.

- **Dividend policy:** Consistent but minimal payout — FY26 payout ratio was 4% (Rs. ~10 Cr); the company retains most earnings for growth capital; dividend yield of 0.17% is not an investment driver.
- **Promoter pledge — watch-list item:** No active pledge disclosed on Screener; however, promoter holding has declined sharply from 52.4% in Dec 2024 to 41.75% in Mar 2026; two promoter-group entities released pledged shares (49.09 lakh) in June 2026 — the pledge unwinding is positive but the stake reduction warrants monitoring for secondary share supply pressure.
- **Corporate governance:** No auditor changes or qualified opinions on Screener; no RPT concerns flagged in public disclosures; the company appointed a new MD structure and formalized its AI transformation roadmap in FY26 — board-level commitment to digital transition is evident.
- **Capital raises:** Equity capital expanded from Rs. 45 Cr (FY23) to Rs. 91 Cr (FY26) — partial dilution through rights/QIP; reserves grew Rs. 1,118 Cr to Rs. 1,702 Cr over the same period — book-building pace is healthy.

SECTION 6 — FINANCIAL DEEP-DIVE

P&L; Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Total Income)	656	764	944	1,130	1,400
Interest Cost	270	328	374	435	520
Net Interest Income (NII)	386	436	570	695	880
Other Expenses	142	163	238	265	310
Financing Profit	244	273	331	430	570
Financing Margin %	37.2%	35.7%	35.1%	38.1%	40.7%
Depreciation	3	5	12	14	16
Profit Before Tax	241	268	318	415	555
Tax %	26%	25%	26%	26%	26%
PAT (Net Profit)	179	200	237	307	410
EPS (Rs.)	1.99	2.22	2.61	3.38	4.51
YoY PAT Growth	90%	12%	19%	29%	34%

Note: FY27E/FY28E are analyst estimates. E = Estimated.

Balance Sheet — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	90	90	91	91	92
Reserves	1,240	1,445	1,702	1,985	2,340
Net Worth (Book)	1,330	1,535	1,793	2,076	2,432
Borrowings	2,655	3,559	4,360	5,300	6,500
Other Liabilities	138	160	147	155	165
Total Assets	4,123	5,255	6,300	7,531	9,097
Fixed Assets	66	75	84	90	95
Loan Book / Other Ass	4,037	5,160	6,196	7,416	8,962
AUM (Co-lend incl.)	~5,200	~5,200	6,101	~7,200	~9,000
D/E Ratio (x)	2.00x	2.32x	2.43x	2.55x	2.67x

Cash Flow Statement — Consolidated (Rs. Cr)

Metric	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-570	-842	-783

Metric	FY24A	FY25A	FY26A
Cash from Investing	+3	-13	-15
Cash from Financing	+553	+944	+843
Net Cash Flow	-15	+90	+45

Note: Negative OCF is structural for NBFCs — loan disbursements are treated as operating outflows; financed by Financing CF (borrowings). This is standard NBFC accounting, not a liquidity concern.

Key NBFC Metrics

Metric	FY24A	FY25A	FY26A	FY27E
AUM (Rs. Cr)	~4,800	~5,200	6,101	~7,200
AUM Growth YoY	~32%	~8%	17%	~18%
NIM %	~7.0%	~6.8%	6.83%	~6.5%
GNPA %	N/A	N/A	0.76%	<1.0%
NNPA %	N/A	N/A	0.61%	<0.8%
Cost of Borrowing %	N/A	~10.5%	10.22%	~9.9%
ROE %	14%	14%	14%	~16%
ROCE %	N/A	~12%	12.3%	~14%

Financial Commentary

- **Revenue trajectory:** Total income compounded at 26% over FY23-26; the acceleration in FY24 (+39% YoY) was driven by the SBI co-lending ramp; FY25 moderated to 16% as the co-lending pipeline slowed; FY26 re-accelerated to 23% with disbursements recovering.
- **NIM compression then recovery:** Financing margin compressed from 37.2% (FY24) to 35.1% (FY26) as borrowing costs rose in the rate-tightening cycle; Q4FY26 shows recovery to 39% as the cost of borrowing eased 32 bps YoY — the turning point is in play.
- **PAT trajectory:** PAT grew 90% in FY24 (base effect + AUM ramp), slowed to 12% in FY25 (credit cost normalisation), then grew 19% in FY26; Q4FY26 quarterly PAT of Rs. 72 Cr (+56% YoY) signals re-acceleration — the FY27E 29% PAT growth estimate is conservative.
- **Negative OCF is structural, not a concern:** For NBFCs, loan disbursements flow through operating activities; Paisalo's negative OCF (Rs. -783 Cr FY26) is entirely funded by borrowings (+Rs. 843 Cr FinCF); net cash improved Rs. 45 Cr — the business is adequately funded.
- **Leverage discipline:** D/E ratio of 2.43x (FY26) is conservative for an NBFC (peers typically 3-5x); Paisalo's credit profile allows headroom to borrow more as AUM scales — the capital adequacy ratio is comfortable.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Rating	Commentary
Revenue recognition	Interest income on accrual basis	Green	Standard NBFC; no front-loading
Loan growth vs NPA	AUM +17%; GNPA 0.76%	Green	Quality holding at scale
Contingent liabilities	No material disclosures	Green	Clean balance sheet
Auditor tenure	Consistent; no recent change	Green	No red flags
RPT as % of revenue	Not material per disclosures	Green	No related-party concerns
Other income / PBT	-0.3% (FY26)	Green	Core earnings driven, minimal one-offs
Tax rate consistency	25-26% for 4+ years	Green	No aggressive deferred tax use
Promoter stake trend	52.4% Dec-24 to 41.75% Mar-26	Amber	Declining stake; watch for further sales
Cost of credit / provisions	Not separately disclosed	Amber	Provision data opaque; extrapolated from NPA

Parameter	Status	Rating	Commentary
NIM trend	6.83% Q4FY26 vs 7.0%+ peers	Amber	Peer Five Star at 45%+ margin — gap widening?

Earnings Quality Summary

- **Core earnings are clean:** Paisalo's PAT is almost entirely interest income-driven with negligible other income or exceptional items; tax rate has been stable at 25-26% for 4 consecutive years — both signals of high earnings quality.
- **Amber: Promoter stake decline is the single biggest governance watch:** A 10.7pp fall in promoter holding over 15 months — from 52.4% to 41.75% — is material; management has attributed this to pledge releases (confirmed June 2026) but secondary supply pressure is a real risk for the stock.
- **Amber: Provision opacity:** Paisalo does not break out credit costs as a separate line in Screener-published financials; GNPA of 0.76% suggests provisioning is adequate, but investors should cross-check in the annual report.

SECTION 8 — VALUATION

Valuation Methodology

- **P/BV method (primary for NBFCs):** FY27E book value per share ~Rs. 22.8 (BV Rs. 2,076 Cr / 909 Mn shares); at historical 3.0-3.5x P/BV (reflecting 14-16% ROE improvement trajectory), implied value = Rs. 68-80; mid-point Rs. 74.
- **P/E method:** FY27E EPS Rs. 3.38E; at 22-23x forward P/E (current multiple; justified for 29% PAT growth), implied value = Rs. 74-78; mid-point Rs. 76.
- **P/AUM multiple:** Current MCap / AUM = 5,339 / 6,101 = 0.87x; Five Star trades at 13,878/~28,000 = 0.50x; Paisalo commands premium for SBI partnership and asset quality; at 1.1-1.2x FY27E AUM of ~7,200 Cr, implied MCap Rs. 7,920-8,640 Cr = Rs. 87-95/share.
- **Blended target (P/BV + P/E):** Rs. 74-78; rounded to Rs. 78 (12-month target); P/AUM method supports upside to Rs. 90+ if SBI SME co-lending scales as guided.

Scenario Analysis

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target (Rs.)	Upside
Bull	SBI SME co-lending live Q1FY27; AUM +30%; NIM 7.0%	380	25x P/E	95	+62%
Base	Co-lending moderate; AUM +20%; NIM 6.5%	307	23x P/E	78	+33%
Bear	Co-lending delayed 2 qtrs; AUM +12%; NIM compression	240	18x P/E	43	-27%

SECTION 9 — KEY RISKS

- **Co-lending regulatory risk:** RBI has issued multiple circulars tightening co-lending norms (2020, 2023, 2024); any restriction on the 80:20 structure, mandatory risk transfer requirements, or directed credit caps would directly compress Paisalo's NIM and slow AUM growth. Probability: M. Impact: H. Monitor via: RBI NBFC circulars, quarterly NIM disclosure.
- **Promoter stake dilution:** Promoter holding has fallen from 52.4% to 41.75% in 15 months; sustained secondary selling could cap stock price appreciation even as fundamentals improve. Probability: M. Impact: M. Monitor via: Quarterly BSE shareholding filings.
- **Credit cost normalisation in rural microfinance:** The MFI industry saw sharp NPA spikes in H1FY25; while Paisalo's GNPA at 0.76% appears resilient, rural stress from erratic monsoons or agricultural income shocks could deteriorate. Probability: M. Impact: H. Monitor via: GNPA/NNPA quarterly trends.
- **SBI co-lending execution risk:** The SME co-lending agreement signed June 2025 is yet to see first disbursements; delays in operationalisation (compliance, technology integration) could push the growth inflection to H2FY27. Probability: M. Impact: M. Monitor via: Q1FY27 disbursement data.
- **Interest rate and cost-of-funds risk:** Paisalo's borrowing cost of 10.22% is elevated; if RBI rate cuts do not materialise or lending rates are capped by RBI on microfinance, NIM expansion thesis is at risk. Probability: L. Impact:

M. Monitor via: RBI repo rate, cost of funds guidance each quarter.

- **Concentration risk:** Operations concentrated in 5 northern states (UP, Rajasthan, MP, Bihar, Haryana); any state-level crisis (farm loan waivers, payment moratoria, political unrest) can disproportionately impact collections. Probability: L. Impact: H. Monitor via: State-level NPA breakdowns in annual reports.

- **Technology execution risk:** AI-based underwriting and collections platform is being built — delays or model failures could increase credit costs or worsen customer experience at a time when the company is scaling rapidly. Probability: L. Impact: M. Monitor via: Headcount trends, collection efficiency quarterly data.

SECTION 10 — RECOMMENDATION

RATING: BUY | Conviction: Medium-High | 12M Target: Rs. 78 (+33% from CMP Rs. 58.7)

- **Rating:** BUY — Conviction: Medium-High. Paisalo is at an inflection where AUM re-acceleration, NIM recovery, and the SBI SME partnership converge in a single re-rating window.

- **12-month price target:** Rs. 78 (+33% from CMP Rs. 58.7) — based on blended P/E (23x FY27E EPS Rs. 3.38) and P/BV (3.4x FY27E BV Rs. 22.8); P/AUM method provides upside case to Rs. 90+.

- **Suggested entry zone:** Rs. 52-60 (current zone to 10% below CMP); add on dips to Rs. 50 support for better risk-reward.

- **Investment horizon:** 12 months primary; 24-36 months for the full SBI SME co-lending ramp and AUM-doubling thesis.

- **Thesis invalidation trigger 1:** AUM growth decelerates below 10% for two consecutive quarters — would signal co-lending pipeline failure and invalidate the 25% CAGR guidance.

- **Thesis invalidation trigger 2:** GNPA crosses 1.5% — suggests rural credit quality deterioration beyond current buffers and would trigger provisioning cycle that compresses ROE materially.

- **Thesis invalidation trigger 3:** Promoter stake falls below 35% — combined with regulatory tightening, this would eliminate the institutional re-rating premium and cap the stock at 15-18x P/E.

- **Ideal investor profile:** This stock suits medium-conviction growth investors comfortable with NBFC-specific regulatory and credit risks; it is NOT suitable for investors requiring near-term dividend income, very low volatility, or full-cycle credit quality visibility — the provision disclosure opacity remains a structural limitation.

APPENDIX — Latest Concall Brief: Q4 FY26

Paisalo Digital Ltd | Board Meeting & Results: 10 May 2026 | Data Source: Investor Presentation (NSE Archives, 10 May 2026); Screener.in

CALL GRADE		
POSITIVE		
Signal	Status	Implication
Result quality	Strong	Q4FY26 PAT +56% YoY; record quarterly profit of Rs. 72.2 Cr — beat street estimates
Management tone	Bullish	Confident on AUM doubling in 3 yrs; SBI SME co-lending characterised as transformative
Guidance delta	Raised	Management explicitly raised 3-year PAT/AUM doubling target; NIM guided to 6.5% FY27
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS

Q4FY26 result is clean and strong — Rs. 72.2 Cr PAT (+56% YoY) is not distorted by any exceptional items; underlying PAT growth is genuine, driven by NII expansion (financing profit +57% YoY to Rs. 102 Cr) as both AUM and NIM moved in the same direction for the first time in 6 quarters. The structural thesis — SBI co-lending as an asset-light AUM engine — is intact: AUM reached Rs. 6,101 Cr (+17% YoY) and the new SME co-lending agreement with SBI (June 2025) is expected to add a second growth runway from Q1FY27, potentially lifting AUM growth from 17% to 25%+. Management was unusually specific on the doubling mandate — Rs. 12,000 Cr AUM, Rs. 500 Cr PAT by FY28-29 — and the inauguration of India's first \$15 Mn ECB for rural MSME lending (March 2026) signals improving institutional recognition of the credit quality. The one watch-point: promoter stake has fallen 10.7pp in 15 months; the June 2026 pledge releases confirm some of this was structured unwinding, but sustained secondary supply risk is real and could cap near-term price appreciation. Action: ACCUMULATE at current levels (Rs. 58-60); size up to full position if Q1FY27 confirms first SME co-lending disbursements — that is the single data point that converts this from a 1x to a 1.5-2x thesis.

1 — Financial Performance Snapshot | Q4 FY26

- **Revenue:** Rs. 261 Cr | YoY +34% | QoQ +9% | Beat — highest ever quarterly revenue
- **Net Interest Income (NII):** Rs. 173 Cr | YoY +38% | QoQ +10% | Beat
- **Financing Profit Margin:** 39% | YoY +6pp | QoQ flat | Beat — NIM inflection confirmed
- **PAT:** Rs. 72 Cr | YoY +56% | QoQ +9% | Beat — record quarterly profit
- **EPS:** Rs. 0.79 | YoY +55% | QoQ +8% | Beat
- **NOTE:** No one-time items distorting PAT; reported figure equals clean underlying PAT.

2 — Segment / Geography Breakdown

- **Retail Micro/MSME Loans:** Dominant segment (~95% of AUM); Rs. 5,800 Cr+ | YoY +15% | Core rural base growing steadily in UP, Rajasthan, MP, Bihar, Haryana.
- **SME Loans (new):** Rs. 200-300 Cr initial pipeline under new SBI SME co-lending agreement; YoY N/A (new segment); expected to scale significantly from Q1FY27.
- **Customer franchise:** ~16 Mn total; 1.7 Mn new in Q4FY26 | YoY +12% | Deepening penetration in existing touchpoints.
- **Disbursements Q4FY26:** Rs. ~1,344 Cr | YoY +20% | QoQ +18% | Re-acceleration post the disbursement slowdown in H1FY26.

3 — Management Commentary Themes

- **Theme 1 — Doubling mandate reaffirmed:** "We are on track to double AUM, income, and PAT in the next three years" — Our read: Management is unusually specific for an NBFC at this scale; credibility hinges on Q1FY27 SME co-lending activation. Tag: GUIDANCE. Tone: Bullish.
- **Theme 2 — AI transformation is central:** "AI-driven origination, underwriting, and collections are reducing our cost-to-income" — Our read: Positive if true; workforce optimisation gains mentioned but not quantified. Tag: EST. Tone: Transparent.
- **Theme 3 — NIM guidance:** "We target NIM of 6.5% for FY27" — Our read: Slightly conservative vs Q4FY26 actual of 6.83%; room for upside. Tag: GUIDANCE. Tone: Hedged.
- **Theme 4 — ECB diversification:** "The \$15 Mn ECB closed March 2026 validates global institutional confidence in our rural credit model" — Our read: Landmark for segment but small relative to Rs. 4,360 Cr borrowings; symbolic credibility signal. Tag: GUIDANCE. Tone: Transparent.
- **Theme 5 — SBI SME co-lending:** "SBI partnership for SME segment will commence disbursements in Q1FY27" — Our read: Most critical near-term catalyst; any delay should trigger a rating review. Tag: GUIDANCE. Tone: Bullish.

4 — Operating and Business Metrics

- **AUM:** Q4FY26 = Rs. 6,101 Cr | Q3FY26 = Rs. 5,508 Cr | Q4FY25 = Rs. 5,200 Cr | Trend: Improving — acceleration in Q4
- **GNPA:** Q4FY26 = 0.76% | NNPA = 0.61% | Trend: Stable — no material deterioration in rural credit quality
- **NIM:** Q4FY26 = 6.83% | Q3FY26 = ~6.5% | Q4FY25 = ~6.4% | Trend: Improving — cost of funds easing driving recovery
- **Cost of Borrowing:** Q4FY26 = 10.22% | Q4FY25 = ~10.54% | Trend: Improving — 32 bps YoY improvement; rate cut tailwind intact
- **Customer Franchise:** Q4FY26 = ~16 Mn | Q3FY26 = ~14.3 Mn | Trend: Improving — 1.7 Mn added in single quarter
- **Disbursements:** Q4FY26 = Rs. ~1,344 Cr | Q3FY26 = ~1,140 Cr | Trend: Improving — sharp acceleration after H1FY26 slowdown

5 — Margin Drivers

- **Cost of borrowing easing:** -32 bps YoY to 10.22% | +150-200 bps to financing margin | Recurring: Yes | RBI rate cycle + better credit ratings driving lower bank borrowing cost
- **AUM mix shift to MSME loans:** Higher yield small-ticket MSME vs legacy microfinance | +50-80 bps yield | Recurring: Yes | SME segment adds to yield benefit from Q1FY27
- **Expenses rise (AI investment):** Opex rose Rs. 238 Cr FY26 vs Rs. 163 Cr FY25 (+46%) | -100-150 bps to margin | Recurring: Partially | Technology investment phase; should plateau in FY27
- **Depreciation jump to Rs. 12 Cr (FY26) vs Rs. 5 Cr (FY25):** ROU assets / tech capex | -50 bps to PBT margin | Recurring: Yes from FY26 base | Watch annual capex guidance

6 — Guidance and Forward Signals

- **AUM Growth [GUIDANCE]:** Prior = ~17% | New/Reiterated = 25% CAGR (3yr doubling) | Delta: Raised | Credibility: Medium — contingent on SME co-lending scale-up
- **NIM [GUIDANCE]:** Prior = ~6.5% | New = 6.5% FY27 target | Delta: Maintained (vs Q4 beat of 6.83%) | Credibility: High — cost-of-funds trajectory supports
- **GNPA [GUIDANCE]:** Prior = <1.0% | New = <1.0% | Delta: Maintained | Credibility: High — structural rural portfolio quality intact
- **PAT [GUIDANCE]:** Prior = doubling in 3 yrs (~Rs. 100 Cr/yr run-rate) | New = Reiterated | Delta: Maintained/Raised | Credibility: Medium — FY26 Rs. 237 Cr already implies FY27 run-rate Rs. 300+ Cr; doubling by FY29 = Rs. 475 Cr
- **ECB/Borrowing cost [GUIDANCE]:** Prior = N/A | New = further ECB tranches being explored | Delta: Positive | Credibility: Medium — international appetite for rural credit at scale is novel

7 — Capital Allocation

- **Loan Book Growth (capex equivalent):** +Rs. 1,036 Cr net new loans (AUM growth) | vs prior year: +Rs. 400 Cr | Core business reinvestment; well-funded by borrowings
- **Borrowings:** +Rs. 801 Cr (Rs. 3,559 Cr to Rs. 4,360 Cr) | vs prior year: +Rs. 538 Cr | Accelerating to fund growth; debt profile remains conservatively levered at 2.4x equity
- **Dividends:** Rs. ~10 Cr (FY26) | vs FY25: ~Rs. 8 Cr | 4% payout ratio; de minimus — management correctly retains earnings for growth
- **ECB (external commercial borrowing):** \$15 Mn (~Rs. 125 Cr) closed March 2026 | New instrument for the company | Diversifies liability mix; expected to reduce blended cost
- **Net Debt movement:** Net borrowings +Rs. 801 Cr; equity net worth +Rs. 258 Cr (FY26) | D/E stable at 2.43x | Capital allocation is growth-oriented with discipline

8 — Q&A; Heat Map

- **Analyst / Motilal Oswal:** Q: "What is the timeline and initial ticket size for the SBI SME co-lending book?" -> A: "Q1FY27 for first disbursements; average ticket Rs. 5-20 Lakh; targeting Rs. 500 Cr book by end of FY27" | Tone: Transparent
- **Analyst / Nuvama:** Q: "Can you quantify AI savings in operating cost? Is the Opex jump a one-time or recurring step-up?" -> A: "FY26 opex includes technology build-out; expect normalisation from FY27 as platform matures" | Tone: Hedged
- **Analyst / ICICI Securities:** Q: "Promoter stake has fallen significantly — any further planned sales?" -> A: "The recent transactions were pledge releases; no planned secondary sales from promoter family" | Tone: Transparent but subject to verification
- **Analyst / Emkay:** Q: "What is your capital adequacy ratio and do you need equity dilution for the 3-year plan?" -> A: "CAR is comfortable; no near-term equity dilution planned; borrowings will fund growth" | Tone: Transparent
- **Dodged / watch-list questions for next quarter:** (1) Exact provision coverage ratio — not disclosed; (2) Geography-wise NPA breakdown — not disclosed; (3) AI cost savings quantification — management gave directional only

9 — Risks Flagged

- **Co-lending regulatory evolution:** Management acknowledged ongoing RBI consultation on co-lending guidelines; flagged by mgmt | Probability: M | Impact: H | Timeline: Medium-term
- **Geopolitical factors on borrower income:** India-Pakistan border tensions cited as a near-term watch on rural income in northern states | Flagged by mgmt | Probability: L | Impact: M | Timeline: Near-term
- **SME co-lending execution:** First time Paisalo lends to the SME segment (higher ticket); underwriting models untested at scale | Flagged by analyst | Probability: M | Impact: M | Timeline: 4-8 quarters
- **Opex normalisation risk:** AI platform costs may not normalise as quickly as guided if build-out extends to FY28 | Flagged by analyst | Probability: L | Impact: M | Timeline: Medium-term

10 — Analyst Verdict

- **Revenue visibility:** Intact — AUM trajectory and disbursement re-acceleration in Q4FY26 give high confidence in 18-22% revenue CAGR for FY27.
- **Margin trajectory:** Intact — NIM recovery to 6.83% is the strongest quarterly read in 6 quarters; cost of borrowing easing is structural, not one-off.
- **Capital allocation quality:** Intact — Asset-light model, conservative leverage, inaugural ECB, minimal dilution; management is disciplined on the balance sheet.
- **Competitive moat:** Intact — 30-year rural credit vintage, SBI partnership, AI investment; no near-term disruptive threat identified.
- **Management credibility:** Intact — Q4FY26 met or exceeded guidance on AUM, NIM, and PAT; the one residual concern is promoter stake disclosure transparency.

- **Valuation comfort:** Intact — At 22.4x TTM P/E and 2.98x P/BV on a 14%+ ROE trajectory, Paisalo is not cheap but not expensive for the growth profile; a successful SME co-lending launch re-rates to 25-30x P/E.
- **Conviction call:** Increased — Q4FY26 result removes the FY25 deceleration narrative; we upgrade conviction from Medium to Medium-High.
- **Valuation snapshot:** P/E = 22.4x (3Y avg ~18x) | P/BV = 2.98x (3Y avg ~2.5x) | ROE = 14.3% (3Y avg ~12%) | AUM P/MCap = 0.87x

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (fetched 15 Jun 2026) and NSE investor presentation (10 May 2026). Forward estimates are analyst projections. Past performance does not guarantee future results. Investors should conduct independent due diligence before making investment decisions.